I found it quite surprising and perhaps even depressing that 23.5% of people above the age of 75 actually had credit card debt. Think about it. This is almost a quarter of the population of people in their seventies. I actually have no problem with retirees taking on debt to finance their lifestyle, but perhaps a reverse mortgage or other, cheaper forms of debt would be much more cost effective and economical.

One other observation that emerges out of Tables 1.4 and 1.5 is that households seem to be diversifying their liabilities among a number of credit sources that charge different interest rates and maintain different terms. Even though the principle of diversification goes a long way as a portfolio hedging tool, it should not be overextended as it has no place in your debt strategy. In fact this is the one area of your personal finances where your eggs *should* be placed in one basket. To optimize one's debt strategy, outstanding balances in different loan "silos" should be consolidated at the lowest possible rate. This can add up to substantial savings over time.

This brings me to the last and very important number that conveys information about the financial state of You, Inc.—the median net worth. This value also rests on the right side of the traditional balance sheet as "Equity" and simply equals the family unit's assets minus its liabilities. While the median net worth of Family, Inc. was $93,000 in 2004, which represents an increase of 11.9% in inflation-adjusted terms since 1998, Table 1.7 presents some interesting data for the population at large. This table displays the extent to which the family unit median net worth varies with the income percentile of the primary breadwinner. Although this observation is somewhat expected because of increased savings that may accompany higher income, the variation in net worth is quite remarkable. This disparity also highlights the potential benefit of tailored financial recommendations and strategies.

Particularly relevant to our discussion of You, Inc., and the lifelong risk management process that you must undertake, is the question of how net worth changes over the lifecycle. Economists summon the so-called "lifecycle hypothesis," to describe the change in financial net worth or wealth as we age. At young ages we have little financial capital or often a negative net worth. Many people borrow money to invest in their education, such as student loans and the like, and therefore start their financial life cycle with little if any net worth. This